

MODULE 3

Product management and Pricing: Importance and primary objective of product management, product levels, product hierarchy, Classification of products, product mix, product mix strategies, Managing Product Life Cycle. New Product Development, packing as a marketing tool, Role of labeling in packing. Concept of Branding, Brand Equity, branding strategies, selecting logo, brand extension- effects. Introducing to pricing, Significance of pricing, factor influencing pricing (Internal factor and External factor), objectives, Pricing Strategies-Value based, Cost based, Market based, Competitor based, Pricing Procedure.

MEANING OF THE PRODUCT

A product can be defined as anything that we can offer to a market for attention, acquisition, use or consumption that could satisfy a need or want.

DEFINITION

Philip Kotler:

“Product is anything that can be offered to someone to satisfy a need or a want.”

W. Alderson:

“Product is a bundle of utilities, consisting of various product features and accompanying services.”

Jobber (2004):

“A product is anything that has the ability to satisfy a consumer need.”

In the words of Dibbetal ,” A product is anything, favorable and unfavorable that is received in exchange.”

PRODUCT MANAGEMENT:

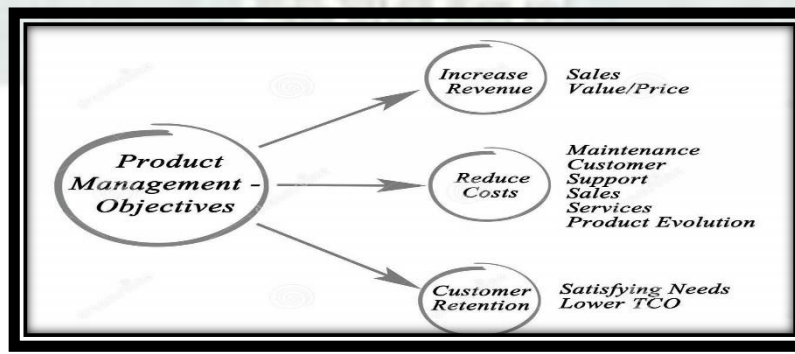
- Product management is an organizational function that guides every step of a product's lifecycle — from development to positioning and pricing — by focusing on the product and its customers first and foremost.
- Product management is the business process of planning, developing, launching, and managing a product or service. It includes the entire lifecycle of a product, from ideation to development to go to market.

- Product managers are responsible for ensuring that a product meets the needs of its target market and contributes to the business strategy, while managing a product or products at all stages of the product lifecycle.
- Product management examples also include the branding and customer communication required to launch a new product. Each product, in its nascent form, requires proper branding. This creates awareness about the product in the market. Advertising and PR handling also fall under the umbrella of product management.

PRODUCT MANGEMEN IS IMPORTANT:

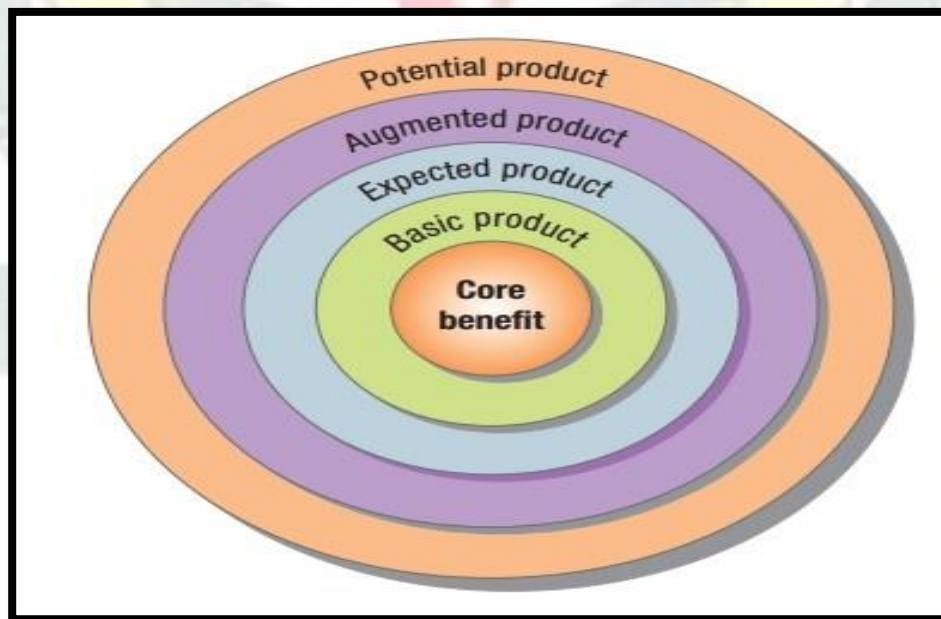
1. **Identifying customer needs:** Product managers conduct market research to understand what customers want, their pain points, and what problems they need to solve. This helps them create products that meet customer needs and provide value.
2. **Maximizing ROI:** A product manager works to ensure that a product is profitable by identifying the most effective pricing, distribution, and marketing strategies. They manage the product lifecycle from conception to end-of-life, ensuring that the product remains relevant and profitable.
3. **Driving innovation:** Product managers help companies stay competitive by introducing new products and features that meet emerging market needs. They work with cross-functional teams to create a vision for the product and ensure that it aligns with the company's overall strategy
4. **Collaboration:** Product managers work with cross-functional teams, including engineering, design, marketing, and sales, to ensure that a product is developed and launched successfully. They act as a liaison between different departments and facilitate communication to ensure everyone is working towards the same goal.
5. **Risk mitigation:** Product managers help mitigate risks associated with developing and launching products. They analyze market trends and competition, identify potential challenges, and develop contingency plans to ensure the success of the product.

OBJECTIVES OF PRODUCT MANAGEMENT:



1. The primary objective of product management is to develop and execute a product strategy that meets customer needs and drives business growth. Product management involves identifying market opportunities, conducting market research, developing product roadmaps, defining product requirements, and working with cross-functional teams to develop and launch products successfully.
2. The goal of product management is to create products that provide value to customers and are profitable for the business. A product manager is responsible for understanding the market, customer needs, and business goals to develop a product strategy that aligns with the company's overall strategy. They work closely with cross-functional teams, including engineering, design, marketing, and sales, to ensure that the product is developed and launched successfully.
3. The success of a product is measured by factors such as customer satisfaction, revenue, and profitability. A product manager is responsible for tracking these metrics and making adjustments to the product strategy as necessary to ensure that the product continues to meet customer needs and drive business growth. Ultimately, the primary objective of product management is to create successful products that provide value to customers and drive business growth.

KOTLER'S 5 LEVELS OR DIMENSIONS OF PRODUCT



1. Core Benefit (or product)

This is the basic level that represents the heart of the product. Here, the focus is on the purpose for which the product is intended. It answers the question 'What is the buyer really buying? For instance, a woman doesn't purchase a washing machine merely because of its machinery but for her comfort and praise from her family. Likewise, we buy a warm coat to protect us from the cold and the rain. Thus, the basic job of marketing manager is to sell the core benefits of the product.

2. Tangible Product

The second level of the product, the tangible product (also called the actual, physical or formal product) is the physical product or service offered to consumers. This represents all the characteristics of the product like quality, features, design, brand name, packaging, etc. For example, we buy a warm coat which has a good quality material, rain repellent ability, fit and high-quality fasteners, etc.

3. Expected Product

At this level, a marketer prepares an expected product, a set of attributes and conditions buyer normally expect when he purchase the product. For example, when we purchase a coat, it should be really warm, protect us from the weather and the wind and be comfortable when riding a bicycle.

4. Augmented Product

This level is supported by additional customer services and benefits. In other words, it exceeds customer expectations. For example, when we purchase a freeze, we not only see its style, trendy colour and fashion brand but also its service, warranty and safe-home delivery, etc. Thus, we can say, this dimension of product is very important for a firm operating in a competitive market.

5. Potential product

The last level of product is its potential part i.e. all the unexpected changes in technology, attributes, features, styles, colour, grade, quality, etc. that might change the characteristics and structure of company in future are taken into account. For example, as per the needs & demands of customers, IT companies changes the processing speed of computer, laptops, smart phones, etc. to remain competitive in the market.

TYPES OF PRODUCT

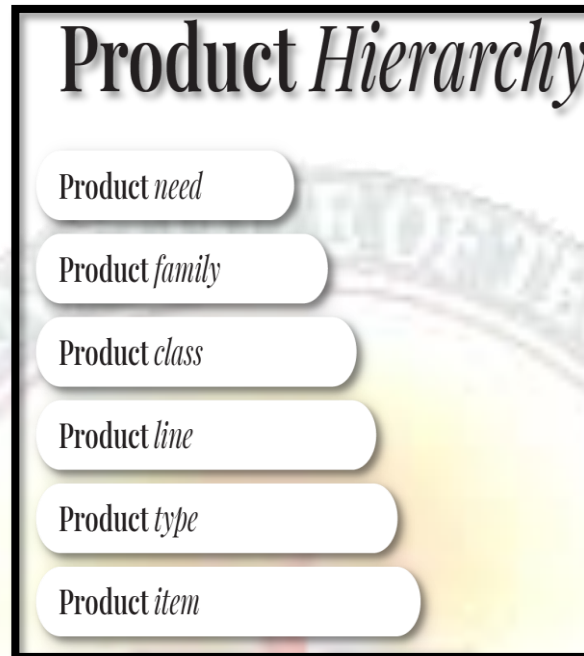
There are many different types of products, and they can be classified in various ways based on their characteristics, function, and target market. Here are some common types of products:

1. **Consumer products:** Consumer products are goods or services that are purchased by

individuals for personal use. They can be further divided into convenience, shopping, specialty, and unsought products based on the level of effort and planning involved in the purchase.

2. **Industrial products:** Industrial products are goods or services that are purchased by businesses to use in their operations. They can be divided into materials and parts, capital items, and supplies and services.
3. **Digital products:** Digital products are intangible products that are delivered electronically. Examples include software, e-books, music, and movies.
4. **Physical products:** Physical products are tangible goods that can be seen, touched, and felt. Examples include clothing, furniture, and cars.
5. **Seasonal products:** Seasonal products are products that are only in demand during certain times of the year, such as Christmas decorations or summer clothing.
6. **Perishable products:** Perishable products are products that have a limited shelf life and must be consumed or used within a certain timeframe, such as food or medicine.
7. **Luxury products:** Luxury products are high-end products that are often associated with status and exclusivity, such as designer clothing, jewelry, and cars.
8. **Necessity products:** Necessity products are products that are essential for daily living, such as food, water, and shelter.
9. **Specialty products:** Specialty products are products that are unique and targeted at a specific market segment, such as vegan or organic food products.
10. **Private label products:** Private label products are products that are produced and sold under a retailer's own brand name rather than a manufacturer's brand name.

PRODUCT HIERARCHY



- Product hierarchy is the classification of a product into its essential components. It is inevitable that a product is related or connected to another. The hierarchy of the products stretches from basic fundamental needs to specific items that satiate the particular needs.
- Product hierarchy is better understood by viewing the business as a whole as opposed to looking at a specific product.

Product hierarchy is usually mentioned in the same sentence with product classification and therefore can be viewed as a way of product classification. To understand the product hierarchy, we will have to look not at a single product but the business as a whole. So in this example, we can take Volkswagen as a company and we will try to understand the Product hierarchy of Volkswagen.

1. **Product need** – Product need is the basic reason because of which the product exists. So the need for cars to exist is because people want to travel. This is the basic product need which is fulfilled by Volkswagen cars.
2. **Product family** – The Product family defines the core need which the product satisfies. When we are talking of the product family, we have to look at the complete business market and not at the individual market. So when travel is the basic requirement, then there is an option of Plane travel, train travel, roadways travel, and travel via passenger cars or transport vehicles. In this case, the Product family is passenger travel and the product family of Volkswagen is Cars.

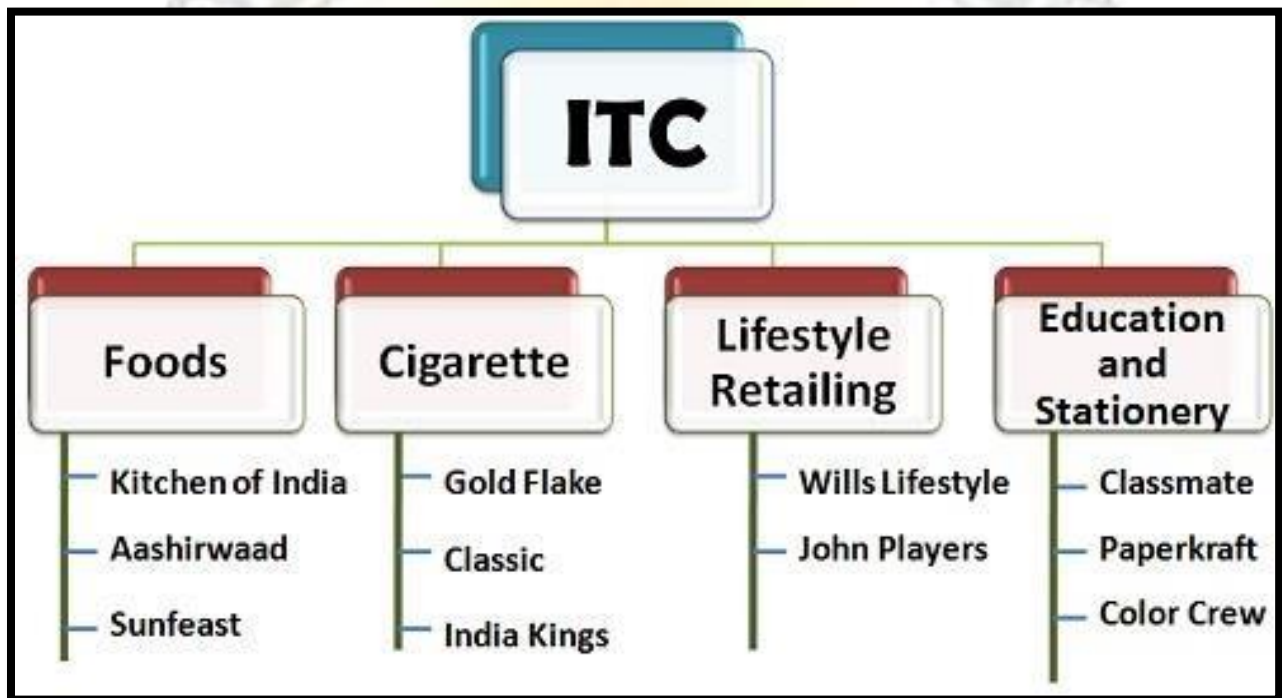
3. **Product class** – Product class and Product family are very similar in nature and can also be treated as synonyms. For example – Volkswagen also manufactures bus which is a multi-passenger transport vehicles and it also manufactures 2 seater luxury cars. Thus when we categorize different products within the company (and not outside the company like in Product family) then it is known as product class. Mercedes, for example, exists in cars and buses both predominantly. Thus, it has 2 common product classes where it is present.
4. **Product line** – The complete line of products within one class of products is known as the product line. So if we talk about Volkswagen passenger cars, then we have the Volkswagen Polo and the Vento as well as different products within the Volkswagen product line. At the same time, Audi is another brand owned by Volkswagen and is divided into multiple product lines including the Q series. So Q series is just one Product line and there would be multiple such product lines of Audi. You can read more about product line and product mix by clicking the link.
5. **Product type** – Within the Product line there are various product types. For example – If we talk of Hyundai's I20, then there is I20 Asta, I20 Magna as well as I20 Sportz. So I20 becomes a product type and the other models become product units (explained below) Similarly, for any given series, within the series there are multiple models and these are the product types. Audi's Q6 or Q7 will also have various customized types on offer and these are known as product types. They are offered to customers based on the budget of customers and their requirement of features.
6. **Product unit** – The final aspect in the Product hierarchy is the product unit which is also known as the SKU. Continuing the above example, the Hyundai I20 Asta is one Product unit and so is the Hyundai I20 Magna. So if the product is an independent product and there is no other product type dependent on it, then it is an individual product unit

PRODUCT LINE

- A product line is a group of related products under a single brand sold by the same company. Companies sell multiple product lines under their various brands. Companies often expand their offerings by adding to existing product lines, because consumers are more likely to purchase products from brands with which they are already familiar.
- A product line is a group of products that a company creates under a single brand. The products are similar and focus on the same market sector. Maybe their function or channel distribution are the same or similar. Perhaps their physical attributes prices, quality, or type of customers are the same. We call the activity product lining.

- A company can have more than one product line. The number of product lines it has reflects its resources, i.e., how powerful it is.
- Product lines are often part of a marketing strategy. Companies keep adding more products to attract buyers. Specifically, they want to attract buyers who are familiar with the brand.
- A marketing strategy exists when you combine all your marketing goals and objectives into one comprehensive plan.

For example, a company that has a product line in grooming and hair care might add a new line in personal care. Customers who already know the brand will be more willing to buy from their new line.



PRODUCT MIX:

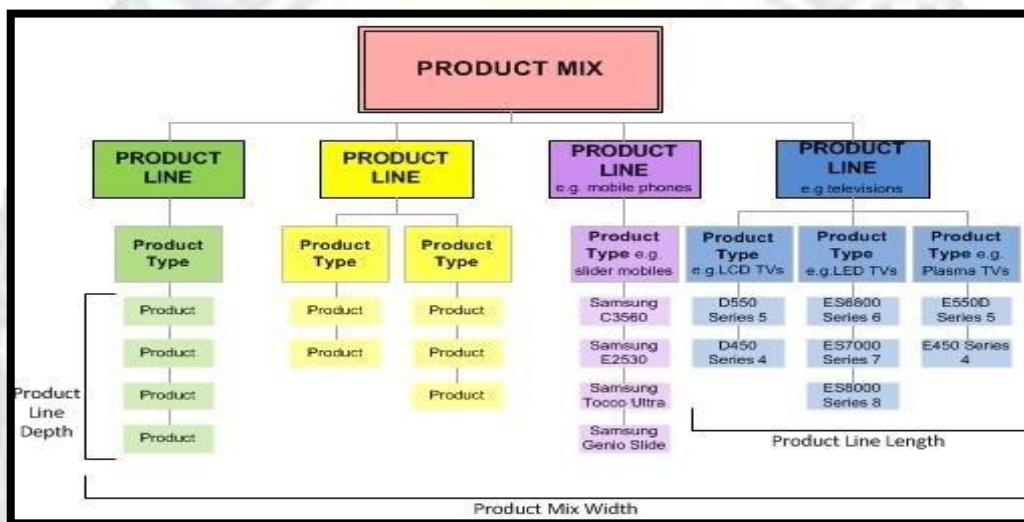
Before turning to the product mix decisions, we first have to know what the product mix actually is. The product mix, also called product portfolio, is the set of all product lines and items that a company offers for sale. For instance, the product mix of Colgate consists of three product lines: oral care, personal care and pet nutrition. Each of these product lines, in turn, consists of several sub-lines. A vehicle manufacturer may have two product lines: motorbikes and cars. Product mix decisions need to be taken for the whole product mix and affect each line.

Product mix, also known as product assortment, is the total number of product lines that a

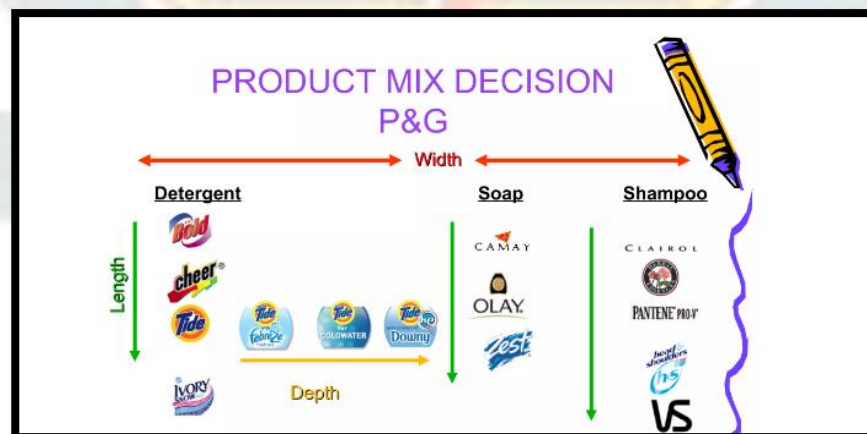
company offers to its customers. The product lines may range from one to many and the company may have many products under the same product line as well. All of these product lines when grouped together form the product mix of the company.

The product mix is a subset of the marketing mix and is an important part of the business model of a company. The product mix has the following dimensions

The product mix has four dimensions: **Breadth**, **Length**, **Depth**, and **Consistency**. The **Breadth of a product mix** shows the different kinds of product lines that firm carries. Simply, it shows the number of items in the product line. This dimension of the product mix represents the extent to which the activities of the firm are diversified.



DIMENSIONS OF PRODUCT MIX



Product Mix – Depth

Depth of product mix means the total number of products a company offers within a certain product line. There may be different variations in the product e.g. size, flavor, taste and many other characteristics. For example, Medical toothpaste sells four sizes and two flavors mean it has a depth of eight. Another thing I want to discuss is average depth of product line. Suppose a company first line depth is 8 and second one is 10 the average depth is 19.

Product Mix – Length

The length of product mix means total number of products within a company's product lines. For example, if a company has 10 product lines and each line has 3 product variations then product mix length is $(10 \times 3) = 30$.

Length of the product mix refers to the total number of products in the mix. If a company has 5 product lines and 10 products under each product lines, the length of the mix will be 50 $[5 \times 10]$.

Product Mix Consistency

At last, the consistency of a product mix is the close relationship between different product lines. The more product variation means less product consistency. For example, a dairy company has two product lines milk and yogurt. Both the lines have same users and distribution channels. Due to low product variation and high product mix consistency. Take another example of Philips Electronics with 7 product lines having high production mix variation and low consistency.

Product Mix Width

Width, also known as breadth, refers to the number of product lines that is offered by the firm. For example, Kellogg's product lines consist of: (1) Ready-to-eat cereal, (2) Pastries and breakfast snacks, (3) Crackers and cookies, and (4) Frozen/Organic/Natural goods.

PRODUCT MIX STRATEGIES:

1. Expansion of Product Mix:

Expansion of product mix implies increasing the number of product lines. New lines may be related or unrelated to the present products. For example, Bajaj Company adds car (unrelated expansion) in its product mix or may add new varieties in two wheelers and three wheelers. When company finds it difficult to stand in market with existing product lines, it may decide to expand its product mix.

2. Contraction of Product Mix:

Sometimes, a company contracts its product mix. Contraction consists of dropping or eliminating one or more product lines or product items. Here, fat product lines are made thin. Some models or varieties, which are not profitable, are eliminated. This strategy results into more profits from fewer products. If Hindustan Unilever Limited decides to eliminate particular brand of toilet soap from the toilet soap product line, it is example of contraction.

3. Deepening Product Mix Depth:

Here, a company will not add new product lines, but expands one or more existing product lines. Here, some product lines become fat from thin. For example, Hindustan Unilever Limited offering ten varieties in its edible items decides to add four more varieties.

4. Alteration or Changes in Existing Products:

Instead of developing completely a new product, marketer may improve one or more established products. Improvement or alteration can be more profitable and less risky compared to completely a new product. For example, Maruti Udyog Limited decides to improve fuel efficiency of existing models. Modification is in forms of improvement of qualities or features or both

5. Developing New Uses of Existing Products:

This product mix strategy concerns with finding and communicating new uses of products. No attempts are made to disturb product lines and product items. It is possible in terms of more occasions, more quantity at a time, or more varied uses of existing product. For example, Coca Cola may convince to use its soft drink along with lunch.

6. Trading Up:

Trading up consists of adding the high-price-prestige products in its existing product line. The new product is intended to strengthen the prestige and goodwill of the company. New prestigious product increases popularity of company and improves image in the mind of customers. By trading up product mix strategy, demand of its cheap and ordinary products can be encouraged.

7. Trading Down:

The trading down product mix strategy is quite opposite to trading up strategy. A company producing and selling costly, prestigious, and premium quality products decides to add lower-priced items in its costly and prestigious product lines.

Those who cannot afford the original high-priced products can buy less expensive products of the same company. Trading down strategy leads to attract price-sensitive customers. Consumers

can buy the high status products of famous company at a low price.

8. Product Differentiation:

This is a unique product mix strategy. This strategy involves no change in price, qualities, features, or varieties. In short, products are not undergone any change. Product differentiation involves establishing superiority of products over the competitors.

By using rigorous advertising, effective salesmanship, strong sales promotion techniques, and/or publicity, the company tries to convince consumers that its products can offer more benefits, services, and superior performance. Company can communicate the people the distinct benefits of its products.

APPRAISAL OF PRODUCT LINES:

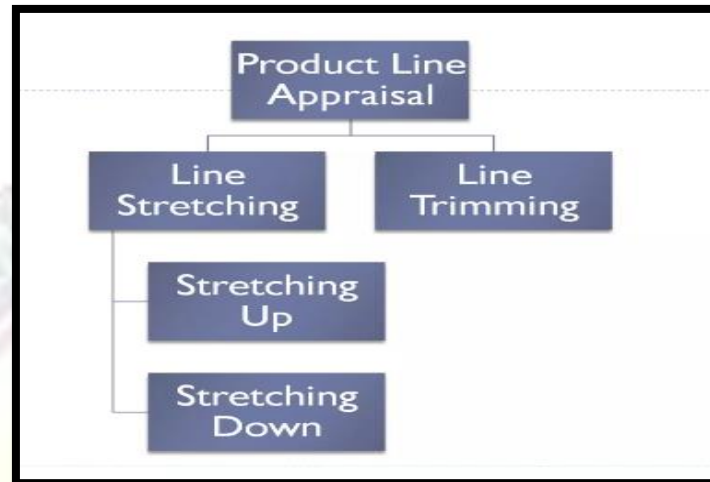
Appraisal of product lines involves evaluating the performance and profitability of a company's product offerings. This process helps companies determine which products to continue producing, which to improve, and which to discontinue.

There are several steps involved in conducting a product line appraisal:

1. Identify the products in the product line: Companies should create a list of all the products in the product line.
2. Gather data on each product: Companies should gather data on each product, including sales figures, profit margins, production costs, and customer feedback.
3. Analyze the data: Companies should use the data collected to analyze the performance of each product. This analysis should include an evaluation of the product's contribution to overall revenue, profitability, market share, and customer satisfaction.
4. Determine the strengths and weaknesses of each product: Companies should identify the strengths and weaknesses of each product in the product line. This can help them determine which products to continue producing, which to improve, and which to discontinue.
5. Make recommendations: Based on the analysis, companies should make recommendations on which products to continue producing, which to improve, and which to discontinue. These recommendations should take into account factors such as profitability, market demand, and customer satisfaction.

Overall, a product line appraisal is an important tool for companies to evaluate the performance

of their product offerings and make informed decisions about their product portfolio.



LINE STRETCHING

Line stretching is a marketing strategy where a company extends its product line beyond its current range to include products that are either more expensive or less expensive than the existing products. Line stretching allows a company to expand its customer base and increase its revenue by offering products that cater to different customer segments.

There are two types of line stretching:

Upward line stretching: This is when a company adds high-end products to its existing product line to target customers who are willing to pay more for premium products. For example, a clothing company that specializes in affordable clothing may introduce a high-end luxury line to appeal to customers who are willing to pay more for premium quality and design.

Downward line stretching: This is when a company adds lower-priced products to its existing product line to target customers who are price-sensitive and looking for affordable options. For example, a high-end restaurant may introduce a lower-priced menu to attract customers who are looking for a more affordable dining option.

Line stretching can be an effective marketing strategy for companies looking to expand their product offerings and appeal to a broader customer base. However, it is important for companies to carefully consider the potential risks and benefits of line stretching before implementing this strategy. Some potential risks include diluting the brand image, confusing customers, and cannibalizing sales from existing products.

LINE TRIMMING

is a marketing strategy where a company reduces its product line by eliminating products that are not performing well or are no longer profitable. The goal of line trimming is to focus on the most profitable products and streamline the product line to reduce costs and improve efficiency.

There are several benefits of line trimming, including:

Increased profitability: By eliminating low-performing or unprofitable products, companies can focus on the most profitable products and increase their overall profitability.

Improved efficiency: A streamlined product line can improve efficiency by reducing production costs, inventory management, and marketing expenses.

Better focus on core products: By trimming the product line, companies can focus on their core products and invest in research and development to improve these products and remain competitive in the market.

Enhanced brand image: A streamlined product line can improve a company's brand image by communicating a clear and focused message to customers.

However, line trimming can also have some potential drawbacks, including:

Decreased revenue: Eliminating products can lead to a decrease in revenue if customers who were purchasing the eliminated products do not switch to other products in the product line.

Risk of alienating customers: If a company eliminates a popular product, it may alienate customers who were loyal to that product and lead to negative feedback.

ELEMENTS OF MARKETING MIX

The 7Ps of marketing mix are a set of interrelated variables that businesses can use to promote their products or services. They include:

1. **Product:** This refers to the actual product or service that a business offers to its customers. This includes the features, quality, packaging, design, and branding of the product.
2. **Price:** This refers to the amount of money that a customer needs to pay to purchase the product or service. The price should be competitive and reflect the value that the product or service offers.



3. **Place:** This refers to the location where the product or service is sold or distributed. It includes the physical location, distribution channels, and online platforms.
4. **Promotion:** This refers to the various strategies and tactics that a business uses to communicate the value of its product or service to its target audience. This includes advertising, sales promotions, personal selling, public relations, and direct marketing.
5. **People:** This refers to the individuals who are involved in the delivery of the product or service, including employees, managers, and customer service representatives. Their skills, knowledge, and attitude are critical to the success of the business.
6. **Process:** This refers to the systems and processes that a business uses to deliver its products or services to customers. It includes everything from order processing to delivery and after-sales support.
7. **Physical evidence:** This refers to the tangible elements of the product or service that a customer can see, touch, or experience. It includes the physical environment, packaging, and branding.

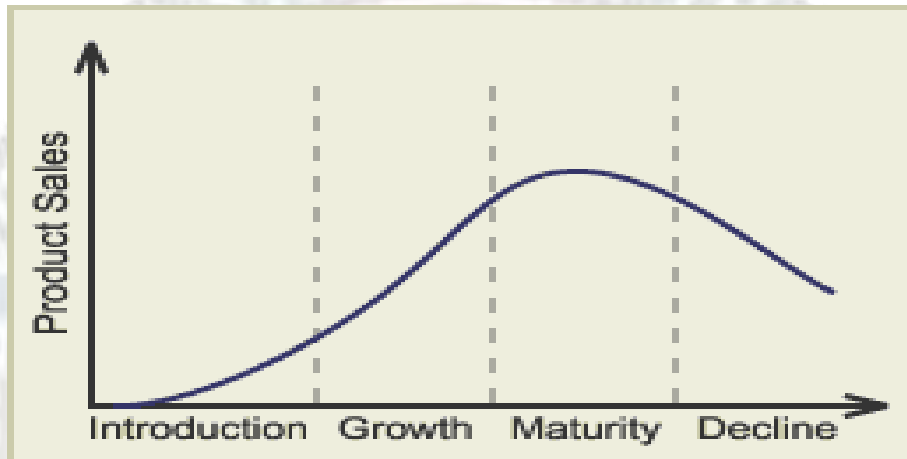
PRODUCT LIFE CYCLE:

The product life cycle is an important concept in marketing. It describes the stages a product goes through from when it was first thought of until it finally is removed from the market. Not all products reach this final stage. Some continue to grow and others rise and fall.

Product life-cycle management (PLM) is the succession of strategies by business

management as a product goes through its life-cycle. The condition in which a product is sold (advertising, saturation) changes over time and must be managed as it moves through its succession of stages.

The product life cycle describes the period of time over which an item is developed, brought to market and eventually removed from the market. The cycle is broken into four stages: introduction, growth, maturity and decline. The idea of the product life cycle is used in marketing to decide when it is appropriate to advertise, reduce prices, explore new markets or create new packaging.



Stage 1: Introduction

This is where the new product is introduced to the market, the customers are unaware about the product. To create demand, producers promote the new product to stimulate sales. At this stage, profits are low and there are only a few competitors. As more units of the product sell, it enters the next stage automatically.

For example, a new product invented in the United States for local consumers is first produced in the United States because that is where the demand is, and producers want to stay close to the market to detect consumer response. Characteristics of the product and the production process are in a state of change during this stage as firms familiarize themselves with the product and the market. No international trade takes place.

Stage 2: Growth

In this stage, demand for the product increases sales. As a result, production costs decrease and profits are high. The product becomes widely known and competitors enter the market with their own version of the product. To attract as many consumers as possible, the company that developed the original product increases promotional spending. When many potential new customers have bought the product, it enters the next stage.

Stage 3: Maturity

In the maturity stage of the Product life cycle, the product is widely known and many consumers own it. In the maturity phase of the product life cycle, demand levels off and sales volume increases at a slower rate. There are several competitors by this stage and the original supplier may reduce prices to maintain market share and support sales. Profit margins decrease, but the business remains attractive because volume is high and costs, such as for development and promotion, are also lower. In addition, foreign demand for the product grows, but it is associated particularly with other developed countries, since the product is catering to high-income demands. For instance, in the case of the newly invented product, this rise in foreign demand (assisted by economies of scale) leads to a trade pattern whereby the United States exports the product to other high-income countries. Other developments also occur in the maturing product stage. Once the American firm is selling to other high-income countries, it may begin to assess the possibilities of producing abroad in addition to producing in the United States. With a plant in France, for example, not only France but other European countries can be supplied from the French facility rather than from the U.S. plant. Thus, an initial export surge by the United States is followed by a fall in U.S. exports and a likely fall in U.S. production of the good.

Stage 4: Decline

By this time in the product's life cycle, the characteristics of the product itself and of the production process are well known; the product is familiar to consumers and the production process to producers. This occurs when the product peaks in the maturity stage and then begins a downward slide in sales. Eventually, revenues drop to the point where it is no longer economically feasible to continue making the product. Investment is minimized. The product can simply be discontinued, or it can be sold to another company. Production may shift to the developing countries. Labor costs again play an important role, and the developed countries are busy introducing other products. For instance, the trade pattern shows that the United States and other developed countries have now started importing the product from the developing countries.

MANAGING PRODUCT LIFE CYCLE AND ITS STRATEGIES

Marketing Strategies for Introduction Stage:

1. Rapid Skimming Strategy:

This strategy consists of introducing a new product at high price and high promotional expenses. The purpose of high price is to recover profit per unit as much as possible. The high promotional expenses are aimed at convincing the market the product merits even at a high price. High promotion accelerates the rate of market penetration, in all; the strategy is preferred to skim the cream (high profits) from market.

2. Slow Skimming Strategy:

This strategy involves launching a product at a high price and low promotion. The purpose of high price is to recover as much as gross profit as possible. And, low promotion keeps marketing expenses low. This combination enables to skim the maximum profit from the market.

3. Rapid Penetration:

The strategy consists of launching the product at a low price and high promotion. The purpose is the faster market penetration to get larger market share. Marketer tries to expand market by increasing the number of buyers.

4. Slow Penetration:

The strategy consists of introducing a product with low price and low-level promotion. Low price will encourage product acceptance, and low promotion can help realization of more profits, even at a low price.

Marketing Strategies for Growth Stage:

This is the stage of rapid market acceptance. The strategies are aimed at sustaining market growth as long as possible. Here, the aim is not to increase awareness, but to get trial of the product. Company tries to enter the new segments. Competitors have entered the market. The company tries to strengthen competitive position in the market. It may forgo maximum current profits to earn still greater profits in the future.

- Product qualities and features improvement
- Adding new models and improving styling
- Entering new market segments
- Designing, improving and widening distribution network
- Shifting advertising and other promotional efforts from increasing product awareness to product conviction
- Reducing price at the right time to attract price-sensitive consumers
- Preventing competitors to enter the market by low price and high promotional efforts

Marketing Strategies for Maturity Stage:

In this stage, competitors have entered the market. There is severe fight among them for more market share. The company adopts offensive/aggressive marketing strategies to defeat the competitors.

- Market modification
- Convert non-users into users by convincing them regarding uses of products
- Entering new market segments
- Winning competitors' consumers

Marketing Strategies for Decline Stage:

Company formulates various strategies to manage the decline stage. The first important task is to detect the poor products. After detecting the poor products, a company should decide whether poor products should be dropped. Some companies formulate a special committee for the task known as Product Review Committee. The committee collects data from internal and external sources and evaluates products. On the basis the report submitted by the committee, suitable decisions are taken.

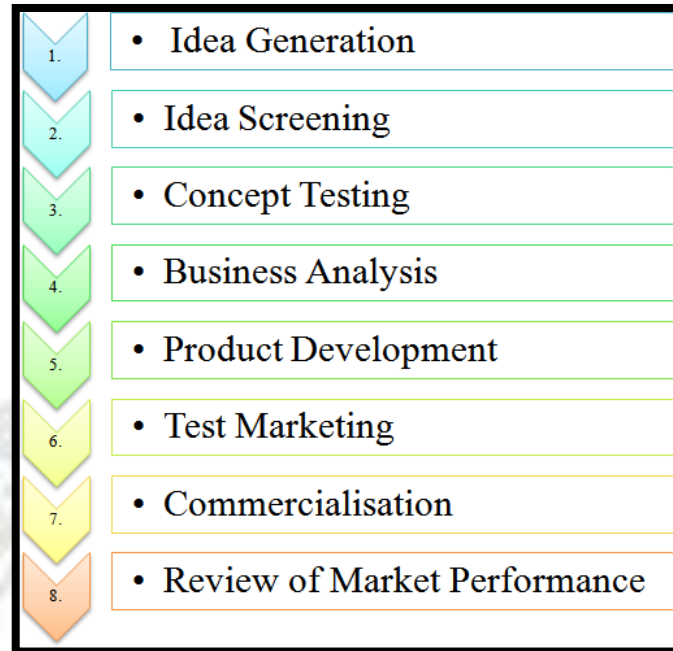
- Continue with the Original Products
- Continue Products with Improvements
- Drop the Product
- Reduce your promotional expenditure on the products
- Reduce the number of distribution outlets that sell them
- Implement price cuts to get the customers to buy the product
- Find another use for the product
- Maintain the product and wait for competitors to withdraw from the market first
- Harvest the product or service before discontinuing it

NEW PRODUCT DEVELOPMENT

New product development is a task taken by the company to introduce newer products in the market. Regularly there will arise a need in the business for new product development.

Your existing products may be technologically outdated, you have different segments to target or you want to cannibalize an existing product. In such cases, New product development is the answer for the company.

Product development, also called new product management, is a series of steps that includes the conceptualization, design, development and marketing of newly created or newly rebranded goods or services. The objective of product development is to cultivate, maintain and increase a company's market share by satisfying a consumer demand. Not every product will appeal to every customer or client base, so defining the target market for a product is a critical component that must take place early in the product development process. Quantitative market research should be conducted at all phases of the design process, including before the product or service is conceived, while the product is being designed and after the product has been launched.



IDEA GENERATION

The first stage of the New Product Development is the idea generation. Ideas come from everywhere, can be of any form, and can be numerous. This stage involves creating a large pool of ideas from various sources, which include

- **Internal sources** – many companies give incentives to their employees to come up with workable ideas.
- **SWOT analysis** – Company may review its strength, weakness, opportunities and threats and come up with a good feasible idea.
- **Market research** – Companies constantly reviews the changing needs, wants, and trends in the market.
- **Customers** – Sometimes reviews and feedbacks from the customers or even their ideas can help companies generate new product ideas.
- **Competition** – Competitors SWOT analysis can help the company generate ideas.

IDEA SCREENING

Ideas can be many, but good ideas are few. This second step of new product development involves finding those good and feasible ideas and discarding those which aren't. Many factors play a part here, these include –

- Company's strength,
- Company's weakness,
- Customer needs,

- Ongoing trends,
- Expected ROI,
- Affordability, etc.

Concept Development & Testing

The third step of the new product development includes concept development and testing. A concept is a detailed strategy or blueprint version of the idea. Basically, when an idea is developed in every aspect so as to make it presentable, it is called a concept.

All the ideas that pass the screening stage are turned into concepts for testing purpose. You wouldn't want to launch a product without its concept being tested.

The concept is now brought to the target market. Some selected customers from the target group are chosen to test the concept. Information is provided to them to help them visualize the product. It is followed by questions from both sides. Business tries to know what the customer feels about the concept. Does the product fulfil customer's need or want? Will they buy it when it's actually launched?

Business Strategy Analysis & Development

The testing results help the business in coming up with the final concept to be developed into a product.

Now that the business has a finalized concept, it's time for it to analyze and decide the marketing, branding, and other business strategies that will be used. Estimated product profitability, marketing mix, and other product strategies are decided for the product.

Other important analytics includes

- Competition of the product
- Costs involved
- Pricing strategies
- Breakeven point, etc.

Product Development

Once all the strategies are approved, the product concept is transformed into an actual tangible product. This development stage of new product development results in building up of a prototype or a limited production model. All the branding and other strategies decided previously are tested and applied in this stage.

Test Marketing

Unlike concept testing, the prototype is introduced for research and feedback in the test marketing phase. Customers feedback are taken and further changes, if required, are made to the product. This process is of utmost importance as it validates the whole concept and makes the company ready for the launch.

Commercialization

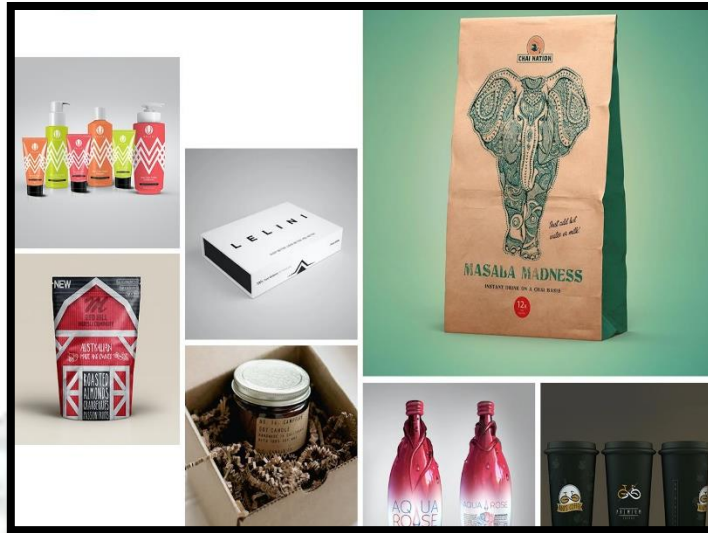
The product is ready, so should be the marketing strategies. The marketing mix is now put to use. The final decisions are to be made. Markets are decided for the product to launch in. This stage involves briefing different departments about the duties and targets. Every minor and major decision is made before the final introduction stage of the new product development.

PACKAGING

Packaging - As we know first impressions go a very long way in how people perceive anything. This is the same idea that companies implement via their packaging. The outer appearance of the product (the package) is the first thing a potential customer will see, and so it can be a great marketing tool for the product.

In fact, the package of a product serves multiple practical purposes as well. Let us take a look at some of the uses and functions that it serves.

- **Protection:** The first and the most obvious use of packaging is protection. It physically protects the goods from damage that may be caused due to environmental factors. It is the protection against breaking, moisture, dust, temperature changes etc.
- **Information Transmission:** Packaging and labelling are essential tools to inform the customer about the product. They relay important information about directions for use, storage instructions, ingredients, warnings, helpline information and any government required warnings.
- **Convenience:** Goods have to be transported, distributed, stored and warehoused during their journey from production to consumption. Packaging will make the process of handling goods more convenient for all parties involved.
- **Security:** To ensure that there is no tampering with the goods packaging is crucial. The package of a product will secure the goods from any foreign elements or alterations. High-quality packages will reduce the risk of any pilferage.



- Packaging refers to the process of designing a package for the consumer product.
- Packaging helps in differentiating the product from competitors and makes it easy for customers to identify the product. In addition to that, it also protects the product from getting damaged.
- Packaging is aimed at attaining two basic functions, the first to protect the product and the second to promote the product.

PACKAGING AS A MARKETING TOOL

Effective packaging can actually help a company attract consumers to their product. It can be the tool that sets apart their product in a vast sea of options that the consumer has at their disposal. A good packaging can actually add to the perceived value of a product.

There are some effective techniques one can use to ensure that your product package is a great marketing tool for your product. Let us take a look at some elements that you can incorporate into a package to make it more effective.

- ❖ Capturing Attention - One important aspect of a package is that it must draw the attention of a potential customer when it is sitting on a shelf. It does not have to be the loudest or brightest package, but it must be unique in some way. Sometimes simplicity could be what sets it apart. Other factors could be the shape, the colour scheme or even the texture of the package.
- ❖ Brand and Product Names should be very Clear - It is of absolute attention that your packaging draws maximum attention to your brand name. The customer will not buy a product if they do not know whose product they are buying. And clearly displaying your brand name is also a good branding strategy.
- ❖ Point out to Benefits - Your product may have certain unique elements or benefits. Your

packaging should draw attention to such benefits, it is a huge selling point. For example, if the product is 'organic' or has 'no preservatives' it should say so on the package and be displayed prominently.

- ❖ Designed with the Target Audience in Mind - The company must be clear on whom the packaging is designed to attract and impress. Say the target audience is youth, then the design can be abstract and modernistic. But say the target customers are senior citizens, then the design should be clear and specific. Designing your packaging for a target audience is not always easy but certain criteria can be followed.

LABELLING



- Labelling is the display of label in a product. A label contains information about a product on its container, packaging, or the product itself. It also has warnings in it.
- Label becomes helpful to sellers to sell out the product. It protects the customers from malpractices of the middlemen. Labeling is very important element affecting sales and distribution process of a product, which provides clear information about the grade, quantity, price, brand name, features etc. to the customers. In some countries, many products, including food and pharmaceuticals, are required by law to contain certain labels such as listing ingredients, nutritional information, or usage warning information. Labels are attached to the product package to provide information such as a manufacturer of the product, date of manufacture, date of expiry, its ingredients, how to use the product, and its handling.
- Many types of symbols for package labeling are nationally and internationally standardized. For consumer packaging, symbols exist for product certifications, trademarks, and proof of purchase. Some requirements and symbols exist to communicate aspects of consumer use and safety. For example, the estimated sign notes conformance to EU weights and measures accuracy regulations. Examples of environmental and recycling symbols include the recycling symbol, the resin identification code, and the "green dot."
- According to **Mason and Rath**, "Label is an information tag, wrapper or seal attached to a

product or product's package.”

- According to **W.J. Stanton**, “Label is the part of a product that carries verbal information about the producer or seller.”

ROLE OF LABELLING IN PACKAGING:

- Labelling is another significant means of product identification like branding and packaging.
- Labelling is the act of attaching or tagging labels.
- Labeling gives necessary information to the customers about the products. The customers can get knowledge about the quality and features of the product without tasting the product.
- Label becomes helpful to sellers to sell out the product. It protects the customers from malpractices of the middlemen.
- Labeling is very important element affecting sales and distribution process of a product, which provides clear information about the grade, quantity, price, brand name, features etc. to the customers
- Label provides information about the price, quantity, quality etc. of the product, due to which the customers buy the product without doubt and hesitation.

- 1) **Brand and Product Identity** - The label on the product is the primary product identity. The name of the product and the brand itself is considered as part of product labelling and these product labels form the brand identity.

Example – HUL generally mentions its own parent brand on all its products because it wants to remind customers that their products are under the umbrella branding of HUL and are not independent. Furthermore, it might be a legal requirement to publish the parent brand along with the sub-brand.

- 2) **Grade and type** - Every Sunsilk shampoo has different types. Besides changing the design and packaging style of the product, they also change the label on the shampoo. Some of them will say that the shampoo is Anti-dandruff shampoo whereas the other will say smooth silk. Thus, product labelling can be used to differentiate between the various grades and type of the product.
- 3) **Requirement by law** - As mentioned above, there are numerous labelling requirements which might be specified by a regulatory body. Some of them which are very common include Ingredients, manufacturing plant, batch number, expiry date, MRP, safety instructions etc. Thus, a company has to consider all legal requirements before deciding on the product labelling.

- 4) **Description** - By law, a product might not be required to print usage instructions on the package of the product. Some products use a manual to communicate the same whereas others imbibe usage instructions on the packaging itself.

If you buy Knorr soup, the package will tell you and give you specific instructions on how to make the soup. If you buy Kellogg's corn flakes, the package will, in fact, give you specific diet instructions besides showing the normal ingredients and calorific value. Thus, in a description, we generally use instructions such as How to use, how to store etc

- 5) **Promotion** - Buy 2, get 1 free. This is a type of product labelling which you would have most likely encountered especially during festive season. If a promotion is printed on the package, it has to be adhered to. It also comes to the immediate attention of the customer.
- 6) **Additional information** - There may be additional information on the product, of use to the customer, which can be used for product labelling. Example – A packet of Maggi which is made of whole wheat might have a picture of Maggi packet on top of wheat. This image will show that the product is healthy and might encourage customers to buy the product. Similar such additional information, which can be a differentiation factor can be used on the product.

BRANDING:

- Branding refers to process involved in creating a unique name and image for a product in the consumers mind mainly through advertising campaigns with a consistent theme.
- Branding aims to establish a significant and differentiated presence in the market that attracts and retains loyal customers.



- The Branding is a marketing process wherein the firm tries to create a unique image of the product in the minds of the customer and establish a differentiated presence in the market

with the intent to retain the customer loyalty.

- Examples include Apple, Nike, Coca-Cola, Advil, and Tylenol.

TYPES OF BRANDING OR VARIOUS BRANDING STRATEGIES

1. Product Branding:

This is the most common and easiest type of branding. Product branding is a symbol or design that identifies and differentiates a product from other products. Product branding is very easy noticeable when you walk through a supermarket filled with different products as most products are branded with a unique colour, design and logo.

2. Personal Branding:

This type of branding is very common among politicians, athletes and celebrities. Personal branding makes it possible for famous people to reflect a good image of themselves to the public. Politicians for instance use personal branding to create a good impression and convince voters that they are right for an office.

3. Corporate Branding:

This type of branding is used by businesses interested in creating and maintaining a good reputation. Corporate branding thus cuts across an organization's services, products, employees, corporate culture as well as corporate social responsibility. Every activity carried out by an organization has a positive or negative effect on its reputation. A wrong decision can in fact have an adverse effect on the corporate brand.

4. Geographical Branding:

This type of branding is used for specific services and products that are peculiar to a particular region. Geographical branding is commonly used in the tourism industry. Various countries and regions try to brand things that make them different from other areas. Landscape, cuisine, tourist centers within a popular region are usually advertised and eventually become associated with the region.

5. Retail Branding:

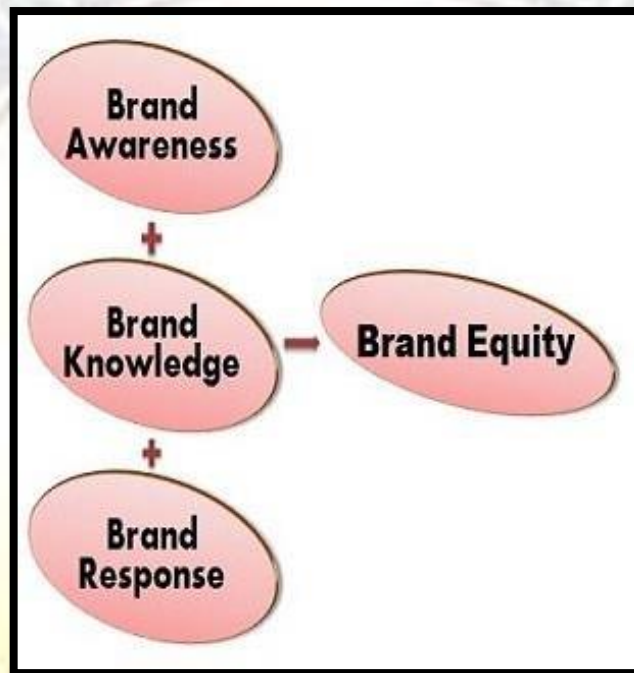
Retail branding is mostly used by industry giants to increase the interest of consumers and make product sales outpace the competition. A lot of money is spent to develop unique brand images that convince consumers to select their brand instead of others. Retail branding however requires a lot of planning. The right strategy needs to be adopted to ensure its success.

6. Co-Branding:

Co-branding is a type of branding that associates the brands of two or more companies with a specific product or service. It can also be described as marketing partnership between two or more brands such that the success of one brand rubs off on the other. Co-branding is effective in building business, increasing awareness and breaking into new markets.

BRAND EQUITY:

- Brand equity is a marketing term that describes a brand's value. That value is determined by consumer perception of and experiences with the brand. If people think highly of a brand, it has positive brand equity.
- When a brand consistently under-delivers and disappoints to the point where people recommend that others avoid it, it has negative brand equity.
- The **Brand Equity** refers to the additional value that a consumer attaches with the brand that is unique from all the other brands available in the market. In other words, Brand Equity means the awareness, perception, loyalty of a customer towards the brand.



Brand Equity comprises the following elements:

- Awareness
- Brand
- Association
- Quality
- Loyalty

BRANDING STRATEGIES:

A branding strategy is a long-term plan for the development of a successful brand in order to achieve specific goals. A well-defined and executed brand strategy affects all aspects of a business and is directly connected to consumer needs, emotions, and competitive environments. One important element of a comprehensive branding strategy targeted to consumers is television

advertising. Although it may not be right for every business, TV is the most powerful media available to advertisers and it has the potential to dramatically impact a communications campaign's success.

Branding strategies are the methods and techniques used by businesses to create a unique and memorable brand identity that resonates with customers and sets them apart from their competitors. Here are some common branding strategies:

Define your brand: Start by defining your brand identity, including your brand mission, values, and personality. This will help you create a consistent brand image across all your marketing channels.

Create a visual identity: Develop a visual identity that reflects your brand, including a logo, color scheme, and font. Your visual identity should be consistent across all your marketing channels.

Use brand messaging: Develop a messaging strategy that communicates your brand's key messages and differentiators. Your messaging should be clear, concise, and consistent across all your marketing channels.

Focus on customer experience: Make sure your brand delivers a positive and consistent customer experience. This includes everything from your product or service to your customer service and support.

Engage with customers: Build relationships with your customers through social media, email marketing, and other channels. Engaging with customers helps to create brand loyalty and encourages repeat business.

Differentiate your brand: Identify what sets your brand apart from your competitors and communicate that to your target audience. This could be through unique product features, exceptional customer service, or other factors.

Stay consistent: Consistency is key when it comes to branding. Make sure your brand messaging, visual identity, and customer experience are consistent across all your marketing channels.

Remember, a strong brand identity is essential for business success. By developing a clear and consistent brand strategy, you can create a powerful brand that resonates with your target audience and sets you apart from your competitors.

VARIOUS BRAND STRATEGY DECISIONS:

There are various brand strategy decisions that companies make in order to create a successful brand. Some of the key brand strategy decisions are:

Brand Positioning: This refers to how a company wants its brand to be perceived in the minds of its target customers. Brand positioning involves identifying the unique benefits of the brand and communicating them effectively to the target audience. This helps the brand stand out in the market and create a competitive advantage.

Brand Identity: This refers to the visual and verbal elements that represent the brand, such as the brand name, logo, slogan, and packaging. A strong brand identity helps the brand to be easily recognized and remembered by customers.

Brand Architecture: This refers to how a company organizes its brand portfolio. It involves deciding how many brands the company will have, how they will be named, and how they will relate to each other. This helps to ensure that each brand has a clear and distinct identity, and that they are consistent with the overall company brand.

Brand Extension: This involves extending the brand into new product categories or markets. Brand extension can be a way to leverage the existing brand equity to create new revenue streams. However, it is important to ensure that the brand extension is consistent with the core values and attributes of the brand.

Brand Communications: This involves developing the messaging and communication strategies that will be used to promote the brand. This includes advertising, public relations, social media, and other forms of marketing communications. Effective brand communication helps to build brand awareness and loyalty among target customers.

Brand Experience: This refers to the overall experience that customers have with the brand, including the product quality, customer service, and other interactions with the company. A positive brand experience can create strong customer loyalty and advocacy.

Overall, brand strategy decisions are critical to building a strong brand that resonates with customers and creates a competitive advantage for the company.

WAYS TO BUILD A BRAND

Building a brand takes time and effort, but with the right strategy, it can be achieved. Here are some ways to build a brand:

Identify your brand values and mission: Determine what your brand stands for and what you want to achieve. This will help you create a unique brand identity that resonates with your target audience.

Develop a strong brand message: Create a clear and concise message that communicates your brand's unique selling proposition (USP) and what sets you apart from your competitors.

Create a visual identity: Develop a visual identity that reflects your brand, including a logo, color scheme, and font. Your visual identity should be consistent across all your marketing channels.

Build a website: A website is essential for building a brand. Make sure your website is well-designed and reflects your brand identity.

Establish a social media presence: Social media is a powerful tool for building a brand. Choose the platforms that your target audience uses most and create engaging content that reflects your brand.

Develop content marketing: Content marketing is a great way to build brand awareness and establish yourself as an authority in your industry. Develop a content marketing strategy that aligns with your brand values and mission.

Engage with your audience: Build relationships with your audience through social media, email marketing, and other channels. Engaging with your audience helps to create brand loyalty and encourages repeat business.

Collaborate with influencers: Partnering with influencers can help to increase brand awareness and credibility. Choose influencers that align with your brand values and mission.

Monitor your brand reputation: Keep an eye on your brand reputation and respond to feedback and complaints in a timely and professional manner.

Remember, building a strong brand takes time and effort. By developing a clear brand identity and consistently communicating it across all your marketing channels, you can build a brand that resonates with your target audience and sets you apart from your competitors.

BRAND EXTENSION:

- Brand extension is a marketing strategy where a company uses an **existing brand name to introduce a new product or service that is related to the original brand.**

- The success of brand extension depends on various factors, such as the strength of the original brand, the similarity of the new product or service to the original brand, and the target audience's perception of the brand.
- **Examples:**
 - **Amazon:** Amazon is an e-commerce brand that has extended its brand to various product categories such as books, electronics, home goods, fashion, and even food and groceries.
 - **Harley-Davidson:** Harley-Davidson is a motorcycle brand that has extended its brand to clothing, accessories, and even home decor products.
 - **Nike:** Nike is a sportswear brand that has extended its brand to different product categories such as footwear, apparel, accessories, and fitness technology.

EFFECTS OF BRAND EXTENSION

POSITIVE EFFECTS

- **Increase brand awareness:** By leveraging the existing brand name, the company can quickly and easily gain exposure for the new product or service.
- **Improve brand image:** If the new product or service is well received, it can enhance the original brand's reputation and image.
- **Increase market share:** By offering a new product or service that appeals to the same target audience, the company can expand its market share and increase revenue.

NEGATIVE EFFECTS

- **Dilute the brand's identity:** If the new product or service is not closely related to the original brand, it can confuse customers and weaken the brand's identity.
- **Damage brand image:** If the new product or service is of poor quality, it can negatively impact the original brand's reputation.
- **Cannibalize sales:** If the new product or service competes with the original product or service, it can cannibalize sales and reduce revenue.

LOGO

- A logo is the graphic symbol used by your company which allows it to be recognized by your audience.
- It is a visual representation of your brand's identity that is used to instill trust and convey your chosen message to the public in an instant.



SELECTING A LOGO:

Selecting a logo can be a challenging task, but there are a few key factors to consider:

1. Understand your brand: Your logo should represent your brand's values, mission, and personality. Before you begin designing or selecting a logo, make sure you have a clear understanding of your brand's identity.
2. Keep it simple: A simple and clean logo is often more memorable and effective than a complex one. Avoid using too many colors, fonts, or graphics.
3. Make it versatile: Your logo will be used in various contexts, such as on business cards, websites, social media, and advertising. Ensure that your logo is versatile and works well in different sizes and formats.
4. Ensure it's unique: Your logo should stand out and be easily distinguishable from your competitors. Avoid using stock images or templates that may make your logo look generic.
5. Get feedback: Before finalizing your logo, get feedback from others, such as colleagues, customers, or focus groups. This can help you refine your design and ensure it resonates with your target audience.
6. Get help from an expert.
7. Use a color that makes your logo stand out.

PRICING

- Pricing is the process whereby a business sets the price at which it will sell its products and services, and may be part of the business's marketing plan. In setting prices, the business will take into account the price at which it could acquire the goods, the manufacturing cost, the market place, competition, market condition, brand, and quality of product.
- Pricing is a fundamental aspect of financial modeling and is one of the four Ps of the marketing mix, the other three aspects being product, promotion, and place. Price is the only revenue generating element amongst the four Ps, the rest being cost centers. However, the

other Ps of marketing will contribute to decreasing price elasticity and so enable price increases to drive greater revenue and profits.

- Pricing is the method of determining the value a producer will get in the exchange of goods and services. Simply, pricing method is used to set the price of producer's offerings relevant to both the producer and the customer.
- Setting the right price is an important part of effective marketing. It is the only part of the marketing mix that generates revenue (product, promotion and place are all about marketing costs).
- Price is also the marketing variable that can be changed most quickly, perhaps in response to a competitor price change.

DEFINITION

“Price is the amount of money or goods for which a thing is bought or sold”.

The price of a product may be seen as a financial expression of the value of that product. For a consumer, price is the monetary expression of the value to be enjoyed/benefits of purchasing a product, as compared with other available items.

The concept of value can therefore be expressed as:

(Perceived) VALUE = (perceived) BENEFITS – (perceived) COSTS

SIGNIFICANCE OF PRICING:

Pricing is a critical element of any business strategy, and its significance cannot be overstated. Here are some of the reasons why pricing is important:

- Revenue generation: Pricing is the primary way for businesses to generate revenue. By setting the right price, businesses can ensure that they generate enough revenue to cover their costs, make a profit, and invest in future growth.
- Profitability: Pricing affects a company's profitability directly. By setting the right price, businesses can maximize their profits and ensure that they are getting a return on their investment.
- Competitive advantage: Pricing can also give businesses a competitive advantage. By offering lower prices than their competitors, businesses can attract price-sensitive customers and gain market share. Conversely, by offering higher prices, businesses can create the perception of higher quality and exclusivity.
- Brand perception: Pricing can also affect how customers perceive a brand. High prices can create the perception of luxury and exclusivity, while low prices can create the perception of value and affordability.
- Customer retention: Pricing can also impact customer loyalty. By offering competitive prices and value-added services, businesses can retain customers and build long-term relationships.
- Market positioning: Pricing can also help businesses position themselves in the market. By offering premium prices, businesses can position themselves as high-end or luxury brands, while

offering low prices can position businesses as budget or value brands.

OTHER SIGNIFICANCE:

- More flexible marketing mix variable
- fixing the right price
- Trigger of first impressions
- important aspects of sales promotion
- Position
- Sales Volume

FACTORS AFFECTING PRICING (Internal and External)

Internal factors affecting pricing

1. Organizational Factors:

Pricing decisions occur on two levels in the organization. Over-all price strategy is dealt with by top executives. They determine the basic ranges that the product falls into in terms of market segments. The actual mechanics of pricing are dealt with at lower levels in the firm and focus on individual product strategies. Usually, some combination of production and marketing specialists are involved in choosing the price.

2. Marketing Mix:

Marketing experts view price as only one of the many important elements of the marketing mix. A shift in any one of the elements has an immediate effect on the other three—Production, Promotion and Distribution. In some industries, a firm may use price reduction as a marketing technique.

Other firms may raise prices as a deliberate strategy to build a high-prestige product line. In either case, the effort will not succeed unless the price change is combined with a total marketing strategy that supports it. A firm that raises its prices may add a more impressive looking package and may begin a new advertising campaign.

3. Product Differentiation:

The price of the product also depends upon the characteristics of the product. In order to attract the customers, different characteristics are added to the product, such as quality, size, colour, attractive package, alternative uses etc. Generally, customers pay more prices for the product which is of the new style, fashion, better package etc.

4. Cost of the Product:

Cost and price of a product are closely related. The most important factor is the cost of production. In deciding to market a product, a firm may try to decide what prices are realistic,

considering current demand and competition in the market. The product ultimately goes to the Public and their capacity to pay will fix the cost, otherwise product would be flapped in the market.

5. Objectives of the Firm:

A firm may have various objectives and pricing contributes its share in achieving such goals. Firms may pursue a variety of value-oriented objectives, such as maximizing sales revenue, maximizing market share, maximizing customer volume, minimizing customer volume, maintaining an image, maintaining stable price etc. Pricing policy should be established only after proper considerations of the objectives of the firm.

6. Promotional activity:

The promotional activity undertaken by the firm also determines the price. If the firm incurs heavy advertising and sales promotion costs, then the pricing of the product shall be kept high in order to recover the cost.

7. The predetermined objectives:

While fixing the prices of the product, the marketer should consider the objectives of the firm. For instance, if the objective of a firm is to increase return on investment, then it may charge a higher price, and if the objective is to capture a large market share, then it may charge a lower price.

8. Product life cycle:

The stage at which the product is in its product life cycle also affects its price. For instance, during the introductory stage the firm may charge lower price to attract the customers, and during the growth stage, a firm may increase the price.

External factors affecting pricing

1. Demand:

The market demand for a product or service obviously has a big impact on pricing. Since demand is affected by factors like, number and size of competitors, the prospective buyers, their capacity and willingness to pay, their preference etc. are taken into account while fixing the price.

2. Competition:

Competitive conditions affect the pricing decisions. Competition is a crucial factor in price determination. A firm can fix the price equal to or lower than that of the competitors, provided the quality of product, in no case, be lower than that of the competitors.

3. Suppliers:
Suppliers of raw materials and other goods can have a significant effect on the price of a product. If the price of cotton goes up, the increase is passed on by suppliers to manufacturers. Manufacturers, in turn, pass it on to consumers.

3. Economic Conditions:

The inflationary or deflationary tendency affects pricing. In recession period, the prices are reduced to a sizeable extent to maintain the level of turnover. On the other hand, the prices are increased in boom period to cover the increasing cost of production and distribution. To meet the changes in demand, price etc.

4. Buyers:

The various consumers and businesses that buy a company's products or services may have an influence in the pricing decision. Their nature and behaviour for the purchase of a particular product, brand or service etc. affect pricing when their number is large.

5. Government:

Price discretion is also affected by the price-control by the government through enactment of legislation, when it is thought proper to arrest the inflationary trend in prices of certain products. The prices cannot be fixed higher, as government keeps a close watch on pricing in the private sector. The marketers obviously can exercise substantial control over the internal factors, while they have little, if any, control over the external ones.

6. Channel intermediaries:

The marketer must consider a number of channel intermediaries and their expectations. The longer the chain of intermediaries, the higher would be the prices of the goods.

OBJECTIVES OF PRICING

- To maximize profit: One of the objectives of pricing is to maximize the profit. It is very important to maximize the profit to run the organization. Some company set price to their products or services with a view of maximizing profit. It is very important to focus on profit maximization.
- Achieving target return: Another objective of pricing is to achieve target Return. Some Company may determine the price of their goods or services to achieve a certain return on investment or on sales. This is the desired profit. It is necessary to have target return in the pricing process.
- Achieving target return on sales: It is necessary to achieve target return on sales in pricing. Mostly resellers manage their pricing to achieve a target return on sales. For example, 10% of sales. If there is not more competition this objectives can be used.

- Achieving target return on investment: Pricing should focus on achieving target return on investment too. Manufacturing company manages pricing in order to achieve specified return on investment in manufacturing, research and development, establishment and commercialization. For example, 5% on investment.
- Sales volume increase: One of the pricing objectives may be determined in terms of increasing sales volumes over the certain period of time. For example, 10% increase annually. This does not mean that profit should be avoided. Organization believes that higher sales volume will lead to lower unit costs and higher long run profit. It is necessary to focus in the increment in sales volume of the company.
- Maintain market share: Pricing should have the basic objectives in maintaining market share. Market share is really a meaningful measure of the success of a firm's marketing strategy. A market share price objective can be either to maintain the market share, to increase it or sometimes to decrease it. The company uses the price as an input to enjoy a target market share. This market share is normally expressed as a percentage of the total industry sales.
- Stabilization of price: Pricing should have the objectives in stabilizing the price of a product. Some organization may set their pricing objective in order to maintain or stabilize price and prevent from market uncertainty. These objectives are adopted for minimizing the risk of loss. Small organizations in market adopt these objectives. These objectives build up their status and goodwill.
- Meet competition: The objective of pricing is to meet the competition in the market. Now there is big competition in the market. In highly competitive market some organization may set the meet competition. Under this objective organization set the prevailing market price. It is important to meet the competition in the market. Without it, market cannot achieve its objectives.

PRICING METHODS ((Value Based, Cost Based, Market Based, Competitor Based)

VALUE BASED PRICING - Value-based pricing (or value pricing) is the most highly recommended pricing technique by consultants and academics. The basic idea is to set a price that's based on what your customers are willing to pay.

Value-Based Pricing (VBP) means to charge what your customers are willing to pay (WTP). This is a simple concept to understand and probably impossible to implement. Every buyer has a different WTP. Perfect VBP implies we can read each buyer's mind and charge them that one Price exactly equal to their WTP. Using today's technology, this is still impossible. A better meaning of VBP is implementing strategies and tactics to price closer to your buyer's WTP than you are today.

Value-based pricing is a technique for setting the price of a product or service based on the economic value it offers to customers. This pricing strategy allows companies to capture the maximum amount that a customer is willing to pay in order to significantly improve company profits.

COST BASED PRICING – Cost based pricing is one of the pricing methods of determining the selling price of a product by the company, wherein the price of a product is determined by adding a profit element (percentage) in addition to the cost of making the product. It uses manufacturing costs of the product as its basis for coming to the final selling price of the product. In Cost Based Pricing, either a fixed amount or a percentage of the total product manufacturing cost is added as profit to the cost of the product to arrive at its selling price.

Cost-plus pricing is a method used by companies to maximize their profits. There are several varieties, but the common thread is that one first calculates the cost of the product, and then adds a proportion of it as markup. Basically, this approach sets prices that cover the cost of production and provide enough profit margins to the firm to earn its target rate of return. It is a way for companies to calculate how much profit they will make.

MARKET BASED PRICING - A market-based pricing strategy is also known as a competition- based strategy. In this pricing strategy, the company will evaluate the prices of similar products that are on the market. It is important to only consider those products that are similar to the product being offered. Depending on if the product has more or less features than the competition, the company sets the price higher or lower than the competitor pricing. For example, if this product has an extra feature over the competitor's product, the company could either decide to price it the same, therefore making it the better value or could price it slightly higher to account for the additional feature.

Is defined as a process of setting prices of goods/services based on the current market conditions. Here, the competitor's products are compared with one's products and then prices are accordingly determined. If the features of a product are more than that of competitor's, then company may set prices same to provide better value to the customers or may set high to account for additional feature.

While proceeding for Market Based Pricing, following things are kept under consideration:

1. Customer Needs
2. Competition
3. Price Sensitivity

COMPETITION BASED PRICING - Competition-based pricing is a pricing method that makes use of competitors' prices for the same or similar product as basis in setting a price. The

price of competing products is used as a benchmark. The business may sell its product at a price above or below such benchmark. Setting a price above the benchmark will result in higher profit per unit but might result in less units sold as customers would prefer products with lower prices. On the other hand, setting a price below the benchmark might result in more units sold but will cause less profit per unit. In a perfectly competitive market, sellers almost have no control over prices. It is solely determined by the supply and demand, and products are sold at the market price or going rate

Competitive pricing is the process of selecting strategic price points to best take advantage of a product or service based market relative to competition. This pricing method is used more often by businesses selling similar products, since services can vary from business to business, while the attributes of a product remain similar. This type of pricing strategy is generally used once a price for a product or service has reached a level of equilibrium, which occurs when a product has been on the market for a long time and there are many substitutes for the product.

OTHER PRICING STRATEGIES

1. **Penetration Pricing –**

The price charged for products and services is set artificially low in order to gain market share. Once this is achieved, the price is increased. This approach was used by France Telecom and Sky TV.

Taking Sky TV for example, or any cable or satellite company, when there is a premium movie or sporting event prices are at their highest – so they move from a penetration approach to more of a skimming/premium pricing approach.

2. **Psychological Pricing –**

This approach is used when the marketer wants the consumer to respond on an emotional, rather than rational basis. For example Price Point Perspective (PPP) 0.99 Cents not 1 US Dollar. It's strange how consumers use price as an indicator of all sorts of factors, especially when they are in unfamiliar markets.

3. **Product Line Pricing -** Where there is a range of products or services the pricing reflects the benefits of parts of the range. For example car washes; a basic wash could be \$2, a wash and wax, \$4 and the whole package for \$6. If you buy chocolate bars or potato chips (crisps) you expect to pay X for a single packet, although if you buy a family pack which is 5 times bigger, you expect to pay less than 5X the price.

4. **Geographical Pricing -** Geographical pricing sees variations in price in different parts of the world. For example, rarity value, or where shipping costs increase price. In some countries there is more tax on certain types of product which makes them more or less

expensive, or legislation which limits how many products might be imported again raising price.

5. **Optional Product Pricing** - Companies will attempt to increase the amount customers spend once they start to buy. Optional 'extras' increase the overall price of the product or service.

For example, airlines will charge for optional extras such as guaranteeing a window seat or reserving a row of seats next to each other. Again budget airlines are prime users of this approach when they charge you extra for additional luggage or extra legroom

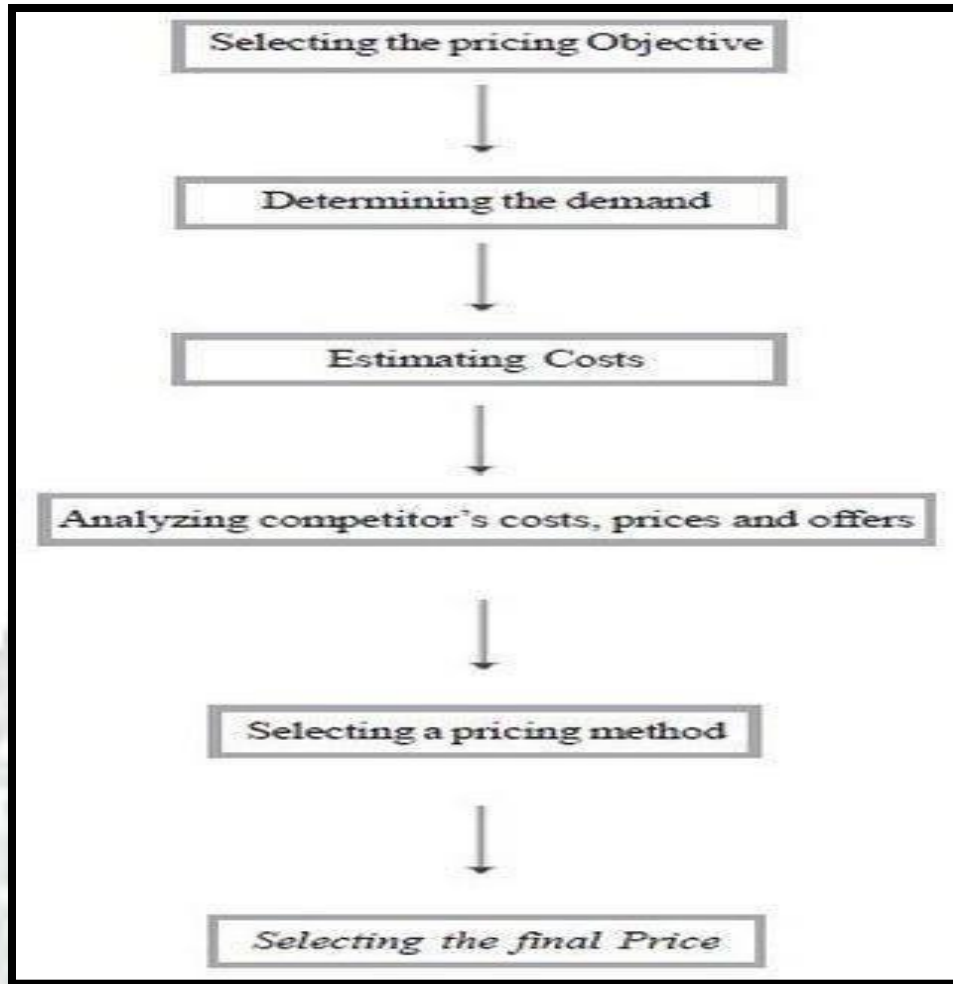
6. **Premium Pricing** - Use a high price where there is a unique brand. This approach is used where a substantial competitive advantage exists and the marketer is safe in the knowledge that they can charge a relatively higher price. Such high prices are charged for luxuries such as Canard Cruises, Savoy Hotel rooms, and first class air travel.

7. **Economy Pricing** - This is a no frills low price. The costs of marketing and promoting a product are kept to a minimum.

The first few seats are sold at a very cheap price (almost a promotional price) and the middle majority is economy seats, with the highest price being paid for the last few seats on a flight (which would be a premium pricing strategy).

8. **Price Skimming** - Price skimming sees a company charge a higher price because it has a substantial competitive advantage. However, the advantage tends not to be sustainable. The high price attracts new competitors into the market, and the price inevitably falls due to increased supply. Manufacturers of digital watches used a skimming approach in the 1970s.

PRICING PROCEDURE



1. **Selecting the pricing Objective** – You would agree that the foremost step is identifying pricing objectives. The company first decides where it wants to position its marketing offering. The clearer a firm's objectives, the easier it is to set price. What are pricing objectives? A company can pursue any of five major objectives through pricing: survival, maximum current profit, maximum market share, maximum market skimming, or product-quality leadership.

Companies pursue survival, as their major objective if they are plagued with overcapacity intense competition, or changing consumer wants. As long as prices cover variable costs and some fixed costs, the company stays in business. Survival is a short-run objective: in the long run, the firm must learn how to add value or face extinction.

2. **Determining the demand** – Following the identification of objectives, the firm needs to determine demand. Each price will lead to a different level of demand and therefore have a different impact on a company's marketing objectives. In the normal case, demand and price are inversely related: the higher the price, the lower the demand .In the case of

prestige goods, the demand curve sometimes slopes upward. E.g. Perfume Company raised its price and sold more

Perfume rather than less! Some consumers take the higher price to signify a better product. However if the price is too high, the level of demand may fall.

3. **Estimating Costs** – Demand sets a ceiling on the price the company can charge for its product. Can you discuss this statement in detail? Costs set the floor. The company wants to charge a price that covers its cost of producing, distribution and selling the product, including a fair return for its effort and risk.
4. **Analyzing competitor's costs, prices and offers** – You would agree that analyzing competitor's costs, prices and offers is also important factor in setting prices. Within the range of possible prices determined by market demand and company costs, the firm must take the competitor's costs, prices and possible price reactions into account. While demand sets a ceiling and costs set a floor to pricing, competitors' prices provide an in between point you must consider in setting prices. Learn the price and quality of each competitor's product or service by sending out comparison shoppers to price and compare. Acquire competitors' price lists and buy competitors' products and analyze them. Also ask customers how they perceive the price and quality of each competitor's product or service. If your product or service is similar to a major competitor's product or service, then you will have to price close to the competitor or lose sales. If your product or service is inferior, you will not be able to charge as much as the competitor. Be aware that competitors might even change their prices in response to your price.
5. **Selecting a pricing method** – Do you know any pricing methods? As consumers have you been able to distinguish between pricing strategies? Let us have a look at various pricing methods Like : Value Based Market Based Competitor Based Cost Based
6. **Selecting the final Price** – Pricing methods narrow the range from which the company must select its final price. In selecting that price, the company must consider additional factors, including psychological pricing, gain and risk pricing, the influence of other marketing -mix elements on price, company -pricing policies, and the impact of price on other parties.

IMPORTANT QUESTIONS:

1. **What is Product Width? 3m**
2. **Explain the stages in New Product Development?10m**
3. **Explain the stages of product life cycle with relevant marketing strategies? 10m**
4. **Discuss the various pricing strategies in consumer marketing. 10m**

- 5. Discuss the factor influencing Pricing? 7m**
- 6. Discuss various brand strategy decisions.7m/10m**
- 7. Explain different methods of pricing? Explain in detail. 7m/10m**
- 8. Explain the role of label in packaging.7m**
- 9. What is positioning? 3m**
- 10. What is Co-branding?3m**
- 11. What is skimming pricing? 3m**
- 12. What is product mix? Explain the dimensions of product mix.7m**
- 13. Discuss various brand strategy or types of branding. 10m**
- 14. Define Consumer Behaviour.3m**
- 15. Explain the Kotler 's 5 levels of Product.7m**
- 16. Examine the new product pricing strategies adopted by marketers in consumer market.7m**
- 17. Explain the different types of Product with relevant examples. 7m**
- 18. Enumerate in detail Product Hierarchy?7m**
- 19. Describe various product mix strategies? 7m**
- 20. Enumerate the elements of marketing mix.7m**
- 21. What is Brand Equity? 3m**
- 22. Elaborate the pricing procedure by quoting an example? 7m**